

Net to Seller Transcript

When working with homeowners who are selling their property, you will need to tell them how much they'll make on the transaction after closing expenses and brokerage fees are paid.

Net to Seller Formula

You can use the net to seller formula to calculate what the seller may be left with after the commission is paid.

Net to seller equals the sales price times the percent to seller.

The percent to seller is simply 100% minus the commission paid on the transaction, closing costs, and payoff balance of any existing mortgage.

Example

Let's go through an example. The sale price on a home is \$150,000. If the transaction pays a commission rate of 7%, this means the percent to seller is 93%, or 0.93.

Multiply \$150,000 times 0.93, and the net to the seller is \$139,500.

This was a very basic scenario, and any payoff balance and closing costs would decrease the net to seller.

You'll find this formula and others on your Real Estate Math Cheat Sheet. Check it out.